

Introducing 2 “dark horse” disruptors with 10-bagger potential

Welcome to *Disruption_X*!

I (Stephen) am happy to have you on board. You're in for an exciting and potentially lucrative ride as we hunt down new growth stock opportunities.

In *Disruption_X*, I and my co-author Chris Wood are focused on finding “dark horse” disruptors with the potential to gain 1,000% or more.

We believe the best disruptive opportunities lie in “10-bagger” stocks already growing revenues at 20%+ per year. And as you likely know from reading our [Ultimate Guide to Modern 10-Baggers](#) report, there are many stocks meeting—and even exceeding—this criteria today.

In this inaugural issue, Chris and I recommend **two** disruptors with 10-bagger potential. One is a little-known artificial intelligence (AI) stock, and the other is helping revive the final frontier.

Before we dive into the recommendations, let's look at this new age we just entered—what I call the “innovation feast”—and how it's contributing to the rise of 10-baggers.

Then, Chris will share all the details on our first two picks...

In this month's issue

The digital revolution's second act

The future is no longer science fiction

Reviving the final frontier

AI: The biggest wealth creator since the internet

The hidden company behind humanity's future in space

The AI bottleneck solution that's quietly beating Nvidia

Introducing: America's fastest-growing stocks

The digital revolution's second act

Imagine landing at JFK Airport today in a time machine from 1970.

As you step out into 2025, what would surprise you most? Probably the pocket supercomputers everyone carries around.

Your mind would be blown that you can video call someone half a world away with crystal clarity—for free—and access more knowledge on-demand than contained in the world's greatest libraries.

Then you look up from the six-inch screen. Your awe melts into... disappointment.

The same old planes lumber down runways. The same traffic-clogged highways lead into Manhattan. The same century-old subway system rattles underneath the city.

For half a century, American innovation squeezed into a narrow digital lane. Silicon Valley churned out photo filters and food delivery apps while the hard problems gathered dust.

The stock market tells the story. In 1970, America's corporate giants—**General Motors (GM)**, **ExxonMobil (XOM)**, and **General Electric (GE)**—built things you could touch.

Today? **Apple (AAPL)**, **Microsoft (MSFT)**, and **Alphabet (GOOG)** dominate, moving bits through the air.

But the digital revolution, for all its limits, planted the seeds of something much bigger.

It created a new class of wealth unlike anything in history. **Nvidia (NVDA)**, Apple, Microsoft, **Amazon (AMZN)**, Alphabet, **Meta Platforms (META)**, **Tesla (TSLA)**, and **Broadcom (AVGO)** have crossed the trillion-dollar mark.

Together, they're worth more than the annual economic output of Japan and Germany combined:

Rank	Name	Market cap
1	Apple (AAPL)	\$3.49T
2	Microsoft (MSFT)	\$3.07T
3	Nvidia (NVDA)	\$3.06T
4	Amazon (AMZN)	\$2.48T
5	Alphabet (GOOG)	\$2.36T
6	Saudi Aramco (2222.SR)	\$1.79T
7	Meta Platforms (META)	\$1.79T
8	Tesla (TSLA)	\$1.22T
9	Broadcom (AVGO)	\$1.09T
10	TSMC (TSM)	\$1.08T

These companies didn't just make their founders rich. They created a new class of millionaires: ordinary engineers, programmers, and early investors.

Since going public in 1986, Microsoft has created at least eight billionaires and 12,000 millionaires. Most of these folks were simply early employees who benefitted from Microsoft's stock option program.

Nvidia has showered investors and employees with even greater riches.

The Wall Street Journal recently profiled ordinary investors who bought Nvidia stock before it soared. (I hope there were some RiskHedge readers among them. We first recommended the stock in 2018.)



Source: *The Wall Street Journal*

The vast sums of wealth created by the digital revolution turned once-scrappy startups into corporate kings. Having billion-dollar bank accounts allowed these companies, and their founders, to fund a revolution in the physical world.

Elon Musk took his **PayPal Holdings (PYPL)** millions and bet everything on electric cars and reusable rockets. Now, Tesla and SpaceX are reinventing transportation on Earth and beyond.

Jeff Bezos channeled his Amazon fortune into Blue Origin's space exploration, while Amazon pioneers delivery drones and warehouse robotics.

Alphabet's cofounders Larry Page and Sergey Brin invested billions into self-driving cars and AI.

Welcome to the digital revolution's second act. The wealth created from reshaping our screens is now flowing into reshaping our cities, skies, and lives. What started as a narrow stream of digital progress is becoming an avalanche of real-world breakthroughs.

The future isn't just in your phone anymore—it's taking physical form before our eyes.

The future is no longer science fiction

I recently took a **self-driving Waymo** in San Francisco. Just me and a steering wheel turning itself. It felt like I'd arrived in the future. Alphabet's self-driving car unit Waymo is now completing more than 175,000 trips across Los Angeles, Phoenix, and San Francisco each week.

In 2024, **nuclear power** came roaring back to life, awakened by an unexpected force. The companies that revolutionized our digital world—Microsoft, Amazon, Alphabet, and Meta—went “all in” on atomic energy.

Why? They need massive amounts of energy to power their **AI** dreams. ChatGPT might live in the cloud, but it runs on a lot of hardware. This year alone, tech giants will pour \$250 billion into AI data centers.

Last year, more **solar power** was installed worldwide than between 1956–2017. In 2004, it took a whole year to install 1 gigawatt of solar power. Now, we're deploying that much every 12 hours!

Neuralink's brain chips allow paralyzed people to work by controlling computers with their minds.

Boom Aerospace is making America **supersonic** again. The startup successfully completed 10 test flights last year.

Scientists retooled the tech behind the COVID jab, **mRNA**, to create cancer-killing jabs. In trials for the deadliest form of skin cancer, personalized vaccines halved death rates. Similar trials for pancreatic, lung, colorectal, and other deadly cancers are showing promising early results.

SpaceX is launching, and catching, skyscraper-sized rockets. Every 2.3 days in 2024, a SpaceX rocket blasted off somewhere in America. This year, it'll complete more missions than NASA's Space Shuttle program did in its entire 30-year history.

Drone delivery startup Zipline made its millionth autonomous delivery, serving 4,500+ hospitals. Want a Sweetgreen salad? A drone might drop it at your door. In Dallas, Alphabet's Wing delivered 30,000 **Walmart (WMT)** packages last year alone.

Robots are learning to think. Physical Intelligence just demonstrated a robot that folds laundry and cleans messy tables—tasks it figures out on its own, even if it's never done them before. Rosie from *The Jetsons* is stepping out of the cartoon and into our homes.

That's just a taste of the innovation explosion happening right now. Every morning you wake up, and some new tech breakthrough hits you in the face.

How do we profit from this innovation feast?

That's the million-dollar question... and it's why Chris Wood and I created *Disruption_X*. The wave of innovation is so massive—and spanning so many sectors—that we needed a dedicated team to track and find the best opportunities.

Chris and I have already proven we can spot big, profitable disruptors in our *Disruption Investor* advisory. *Disruption_X* goes deeper. We've assembled a specialized team to hunt down the little-known companies leading America's innovation revival.

We started with a simple question: **What do history's most successful stocks have in common?**

Using AI, we analyzed every US stock from the past 20 years. We identified 10-baggers (stocks that returned 1,000%+) and discovered they share [four core traits](#):

- **Trait #1:** They grow like weeds, expanding revenue by at least 20% annually—5X to 9X faster than the average company.
- **Trait #2:** They start small but not tiny: worth between \$200 million and \$20 billion at the start of their journey. That's less than 1/100th the size of a giant like Apple.
- **Trait #3:** They're either profitable or "intentionally unprofitable"—choosing to pour every dollar into rapid growth.
- **Trait #4:** They cluster heavily in technology, where innovation creates entirely new markets.

Prior to the debut of ChatGPT and generative AI in November 2022, this project would have been impossible without a team of data scientists and coders.

Most people don't yet realize what a game-changer AI is for sophisticated financial research. We seem to be in a special window right now where a small team leveraging AI can get results that used to require the resources of a hedge fund.

For half a century, most of the greatest public investment opportunities lived almost entirely in the digital world. Social media. Smartphones. Online shopping. Cloud computing. That narrow slice of progress created thousands of millionaires.

Now, areas that were investment deserts just a few years ago are suddenly bursting with opportunity.

Space travel—once the domain of government agencies—now has dozens of promising companies. Nuclear power—written off as yesterday's technology—is roaring back to life. Robotics, genetic engineering, and AI—previously the stuff of science fiction—are becoming real businesses.

We're witnessing the birth of entire new industries. Each one has the potential to create the next Microsoft, the next Amazon, the next Nvidia. For investors, it's like having a time machine back to the early days of the internet boom. Except this time, the revolution is everywhere.

The style of investing we'll do in this letter, GARP—or “growth at a reasonable price”—was pioneered by the legendary Peter Lynch. He once said: “The best way to find great investments is to look around and see what’s changing in the way people live and work.”

What would Lynch see today if he were investing professionally? More rapid technological changes taking place than ever before. Here’s a little taste...

- AIs that are boosting our productivity
- Self-driving cars ferrying kids to soccer practice
- Miracle drugs like Ozempic melting fat off waistlines
- Drones delivering Amazon parcels
- Solar panels pulling power from the sun
- Skyscraper-sized rockets launching into space
- Startups that are building nuclear reactors small enough to fit inside your garage
- Gene editing tackling rare diseases
- 3D-printed homes

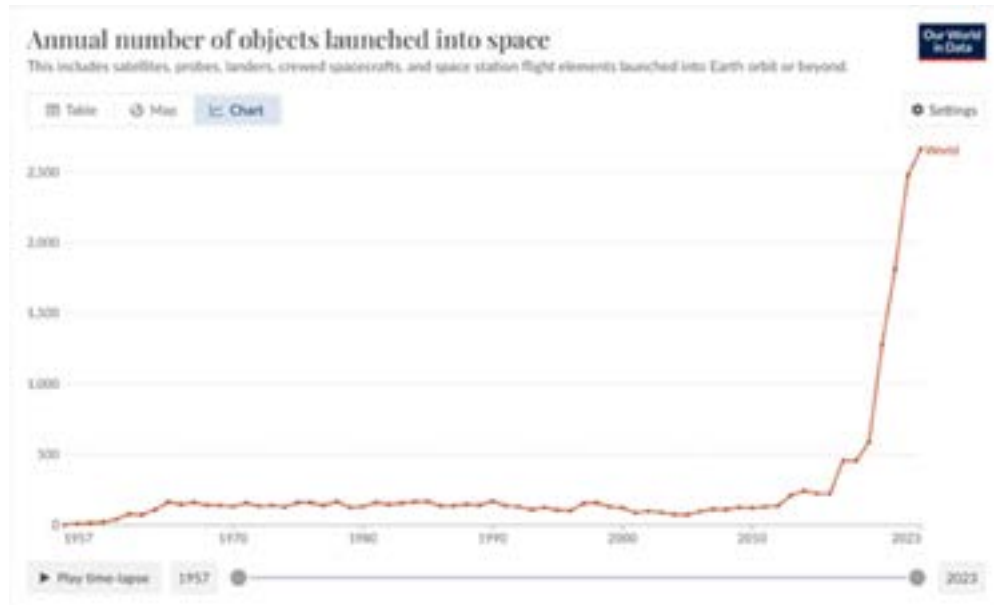
The world is changing before our eyes. It’s opening up a whole new world of investing that we can’t wait to explore—and exploit—with you.

For our inaugural issue of *Disruption_X*, we’re focusing on two sectors where the future is arriving fast: space travel and artificial intelligence.

Reviving the final frontier

When NASA retired its Space Shuttle program in 2011, America lost its ability to go to space. We had to hitch a ride on Russian rockets to send astronauts to the International Space Station. What an embarrassment!

Elon Musk’s SpaceX singlehandedly revived the final frontier. Look at this chart showing the number of objects launched into space:

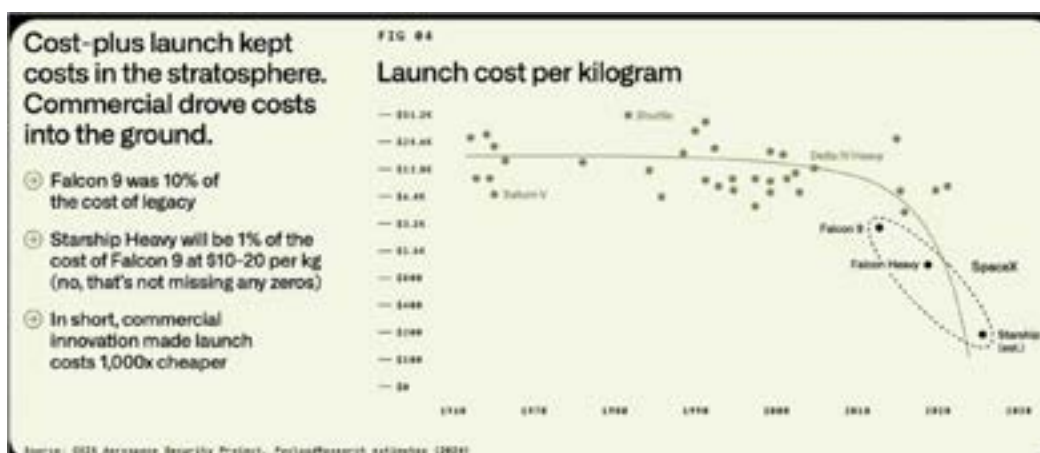


Source: Our World in Data

Thanks to SpaceX, more objects have reached orbit in the past two years than in all of previous history. SpaceX accounts for 95%+ of these launches.

Imagine if every time you flew, the airline had to build a new plane. That's how space travel used to work. Every rocket flew once, then crashed into the ocean. SpaceX changed the game by building reusable rockets that land themselves after launch, ready for the next trip.

In 2000, putting a pound of cargo into orbit cost at least \$30,000. Today, SpaceX routinely does it for \$1,200—cheaper than a new iPhone Pro. That's a 96% cost reduction!



Source: CSIS Aerospace Security Project

By slashing the cost of reaching orbit, SpaceX is making the new space economy possible.

Imagine a giant floating laboratory, bigger than a football field, zooming around Earth every 90 minutes. That's the International Space Station (ISS). It's flourished into a bustling factory for groundbreaking medical research that can't be conducted on Earth.

Researchers aboard the ISS successfully 3D printed the first human knee meniscus last year. **Redwire Corp. (RDW)**, which owns the BioFabrication Facility on the ISS, then sent the meniscus back to Earth aboard a SpaceX rocket.

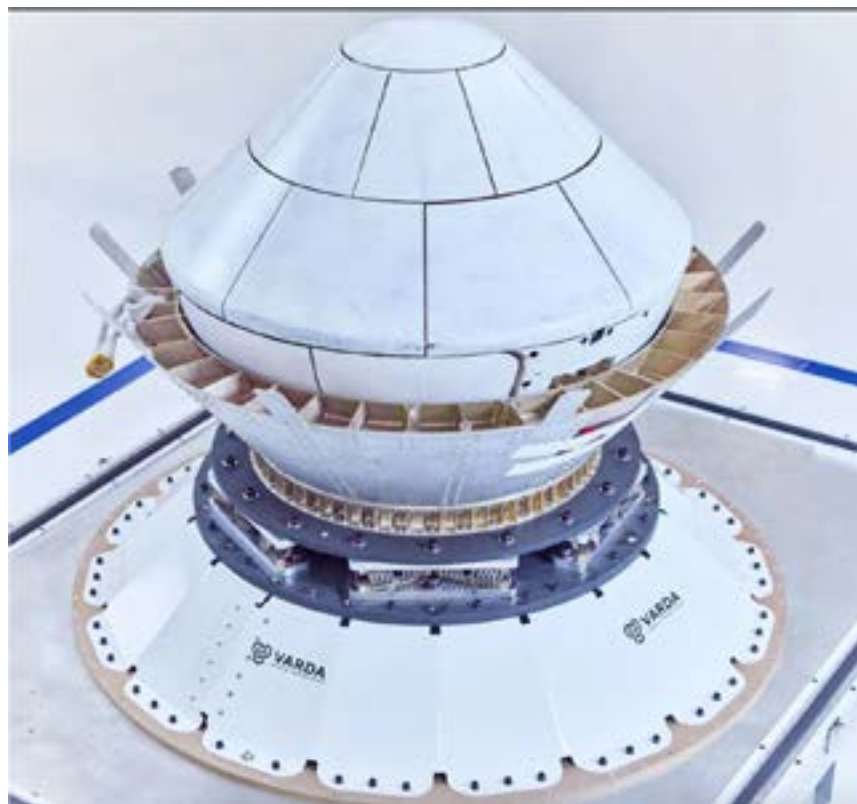
Why do this in space? In a word: microgravity. Try to make a soft, squishy organ like a human liver on Earth and it'll collapse under its own weight like a failed soufflé. But it's no problem in space, where everything is nearly weightless.

Microgravity is a game-changer for drug development, too. Drug particles made on Earth often end up like mixed nuts, all different shapes and sizes. In microgravity, drug molecules can be formed like perfectly round marbles.

For cancer patients, this isn't just a fun fact. Better drugs are life-changing. They're the difference between spending hours hooked up to an IV drip versus swallowing a space-made pill at home.

Progress here is happening *fast*. Los Angeles-based startup Varda (a private company) recently launched the world's first space-based drug factory. Varda's capsule hitched a ride on a SpaceX rocket, made some pills in orbit, and then parachuted back to Earth.

The next lifesaving drugs could be made inside this 3 ft. capsule, 400 miles above our heads. What a time to be alive!



Source: Bloomberg

Don't underestimate the impact of reducing costs. It's often how new industries are born.

Varda, for example, was never a viable business because it would've cost \$20+ million to send its 660 lb. mini drug factory into orbit 20 years ago. SpaceX delivered it into space for less than \$2 million.

Imagine all the Vardas that will be built because we can now get to space cheaply. The iPhone gave us **Uber (UBER)**, **Netflix (NFLX)**, and Meta. What trillion-dollar ideas will cheap space travel spawn?

One day, we'll look back and laugh at the fact that humans had to make everything on Earth. The final frontier is (finally) open for business.

AI: The biggest wealth creator since the internet

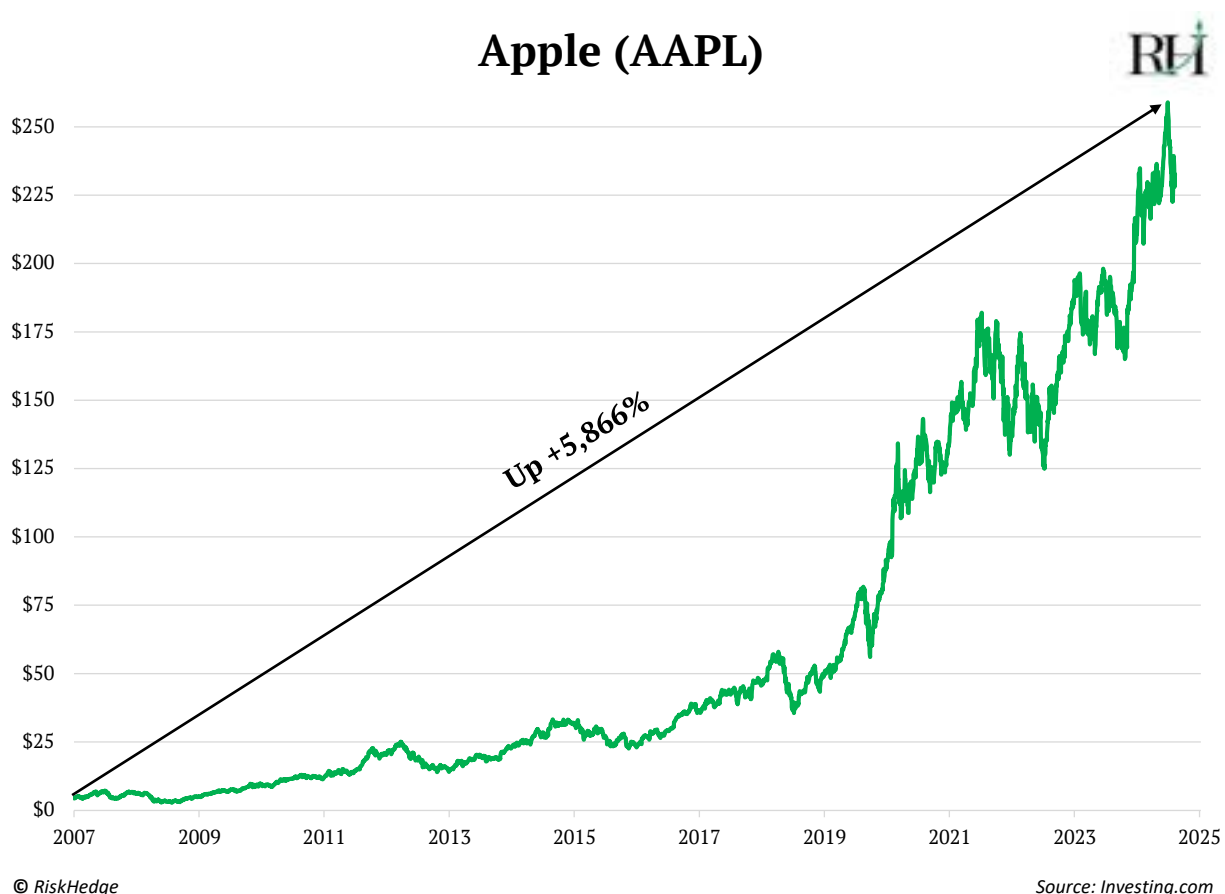
My friend Louis Gave is the CEO of billion-dollar asset manager Gavekal. He likes to say that for investors, the biggest event to happen in 2001 wasn't 9/11—it was China entering the World Trade Organization (WTO).

If you had bought Chinese stocks when China joined the WTO, you would have more than tripled your money over the next six years. During that time, the S&P 500 only went up 8%:



Louis says the “signal” for investors in 2007 wasn’t the subprime mortgage crisis but the launch of the first iPhone, which kicked off 15 years of digital innovation.

Apple stock has handed investors 5,866% gains since 2007:



Adding to Louis’s examples, the most important thing that happened for investors in 2020 wasn’t COVID, it was OpenAI launching GPT-3. GPT-3 was the predecessor to ChatGPT, which is the fastest-growing product in human history.

Today, more than 100 million people use ChatGPT each day.

AI has been THE investing megatrend of the past two years. Nvidia—which dominates the market for AI training chips—has handed investors 8X their money since ChatGPT launched.

There have been tons of other big AI winners, including:

- **Palantir Technologies (PLTR)** (up 1,525% over the past two years), which uses AI to catch bad guys...
- Power provider **Vistra (VST)** (up 760%), which sells energy to AI data centers...
- And **Credo Technology Group Holding (CRDO)** (up 537%), which builds “express lanes” that keep AI’s rush-hour traffic flowing smoothly in data centers.

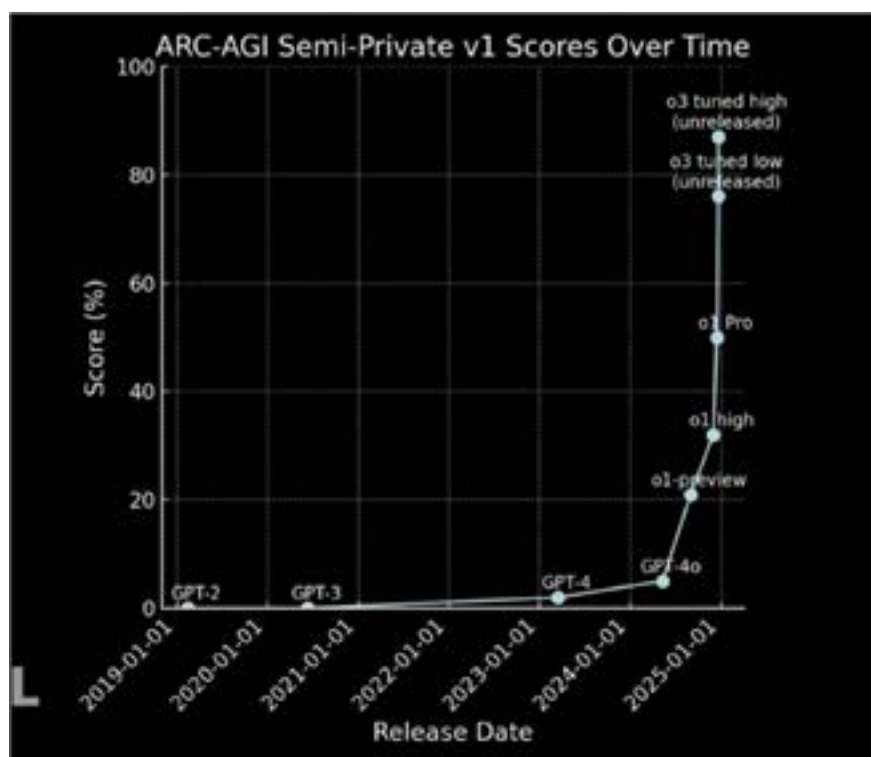
What if I told you we're only getting started?

In *Disruption_X*, Chris and I are dedicated to taking you inside the most exciting innovations in the world and showing you how to profit from them. Among all the disruptions we'll talk about, AI is unique in that we can get our hands dirty with it. If you're not already using AI, you should be.

Claude 3.5 Sonnet is my favorite AI tool. It edits all my writing. It pulls out valuable insights from dense research papers in 30 seconds, which used to take me an hour to slog through.

None of this was possible even a year ago. That's because AIs have gotten much bigger—and much better.

AI progress is going vertical, as this chart of GPT's score on popular benchmarks shows:



Source: Helen Edwards on LinkedIn

I believe with this accelerating progress, we'll soon see a year's worth of innovation squeezed into three months.

AIs like ChatGPT and Anthropic's Claude are getting increasingly accurate and helpful due to a new AI "law" I first told *Disruption Investor* members about back in 2020.

Back then, my team and I were combing through GPT-3 documents and noticed a new law of computing: Every time you multiply an AI's training data by 10, its intelligence doubles.

To boost performance, AI companies must use ever-greater amounts of computing power. Over the past decade, the “compute” needed to train the latest AI models has surged 1,018,766,656%! It’s hard to wrap your head around “1 billion percent.” It’s the equivalent of turning \$1 into \$10 million.

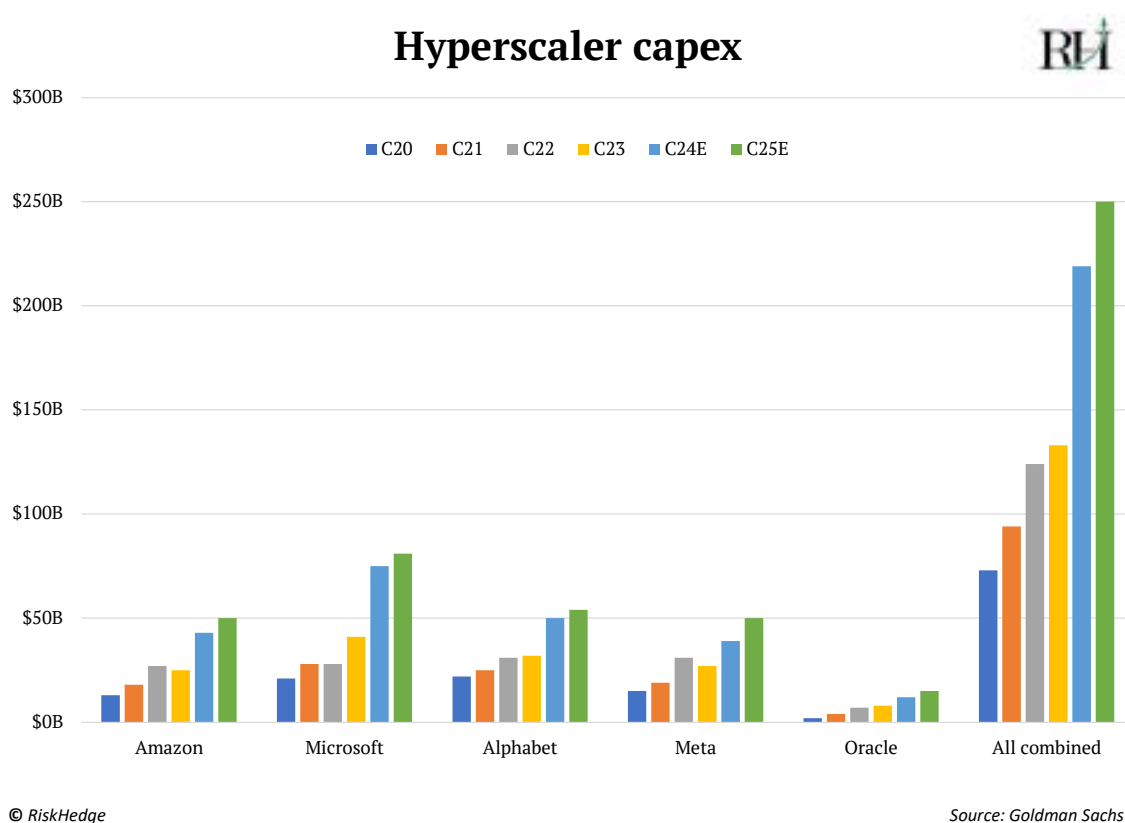
“Scaling laws” are the cheat code for making AI smarter. It’s why GPT-4o runs circles around GPT-3.

Financial news outlet *Bloomberg* created “BloombergGPT” to gain an edge in analysis and forecasting. It fed the model every scrap of data *Bloomberg* had gathered over 40+ years.

GPT-4o, which wasn’t specifically trained for finance, smoked it in tasks like figuring out the sentiment of earnings calls. It didn’t matter how much high-quality, “proprietary” data *Bloomberg* had because GPT-4o was 100X bigger.

With AI, bigger is better.

That’s why this year alone, Apple... Amazon... Alphabet... Meta... Microsoft... and **Oracle (ORCL)** are on track to spend between \$250 billion and \$300 billion building data centers:



For perspective, America spent \$600 billion (in today’s dollars) building the Interstate Highway System, which stretches some 50,000 miles.

Big tech companies will spend more money building AI data centers in the next three years. It's the biggest infrastructure buildout in history, and it's not even close.

And this spending won't slow down anytime soon. The CEOs of the largest, richest companies in history believe AI is the most important tech breakthrough of their lifetimes. And they'll spend as much money as it takes to "win."

Take this recent quote from Meta CEO Mark Zuckerberg: "The amount of compute needed to train Llama 4 will likely be almost 10X more than what we used to train Llama 3—and future models will continue to grow beyond that."

So far, AI chip king Nvidia has been the big winner from the AI spending spree.

But Nvidia is moving too fast for its own good. Its AI chips are 100X faster than they were a decade ago. All the other parts that make up a data center—networking equipment that allows the chips to "talk" to each other and so on—have only gotten about 4X faster.

This creates a major bottleneck where Nvidia's chips can only work 30% of the time. The other 70% of the time, these \$40,000 chips sit idle... but still suck full power.

He who has the best AI infrastructure wins. If you can get your GPUs firing 70% of the time and your competitor is stuck at 50% because of bottlenecks, you will crush them.

Infrastructure will separate the winners from the losers.

A ton of spending and innovation is now shifting toward the lagging parts of the data center equation: cooling equipment, storage, memory chips, next-gen fiber optic cables, and so on.

And that opens up a whole new set of profit opportunities for us.

AI is the biggest wealth creator since the internet. Folks who think AI won't change the world simply aren't paying attention.

Now, I'll hand it over to Chris to share the companies at the forefront of these two disruptive megatrends...

Recommendation #1: The hidden company behind humanity's future in space

In a little under a year, space-based exploration and research have increased dramatically—and are showing no signs of slowing down.

Just take a look at this timeline:

- **March 2024:** The world's largest drug company, **Eli Lilly (LLY)**, announced its second spaceflight mission in four months to conduct drug discovery and development experiments on the ISS.
- **May 2024:** Scientists aboard the ISS announced they had successfully 3D bio-printed live human heart tissue in space for the first time.
- **October 2024:** NASA's Europa Clipper lifted off from Kennedy Space Center for a five-year flight to Jupiter's Europa. Its mission: determine if the icy moon, which is thought to have a giant salt-water ocean beneath its crust, could support alien life.
- **October 2024:** The European Space Agency (ESA) launched its Hera planetary defense mission to investigate certain asteroid systems in space... increase our understanding of asteroid geophysics... and provide invaluable information for future asteroid deflection missions and science to help protect Earth from potential future impacts.
- **December 2024:** The ESA's two PROBA-3 satellites took off on a mission to study the sun's corona to further our understanding of the sun's impact on Earth. (The corona is the outermost layer of the sun's atmosphere. It significantly influences life on Earth through events like coronal mass ejections and the generation of "solar wind.")
- **January 2025:** Firefly Aerospace's Blue Ghost lunar lander launched from Kennedy Space Center with the goal of landing autonomously on the moon on March 2. It also aims to deliver science and tech instruments to the lunar surface as part of NASA's Commercial Lunar Payload Services initiative.

What if I told you one small, \$1.5 billion market cap company you've probably never heard of played an instrumental role in all these space missions and milestones... and a couple hundred others?

It's true.

Earlier, Stephen mentioned a company called **Redwire** sent the first 3D-printed human knee meniscus back to Earth aboard a SpaceX rocket.

This Jacksonville, Florida-based space infrastructure company is enabling the space missions of big commercial customers like **Boeing (BA)**, **Lockheed Martin (LMT)**, and Blue Origin—along with government customers like NASA and the ESA.

In short, it provides the fundamental building blocks for these missions to take place—including avionics, cameras, sensors, power generation solutions, and communication systems.

Redwire was founded in 2020 by a private equity firm, but the businesses that merged to create it reach back decades.

In fact, some of its products have been enabling space missions since the 1960s—including NASA's Artemis program to explore the moon and its New Horizons mission to study distant objects beyond Neptune.

Without Redwire's tech, satellites we depend on for communication, navigation, and national security couldn't function. Space stations couldn't generate power. And exploration missions couldn't navigate through space.

To get a better sense of how Redwire is helping its customers and enabling the exploding space economy, let's explore some recent missions and milestones where the company played a key role...

Redwire's latest contributions to space exploration

Earlier, I mentioned that the ESA launched its Hera planetary defense mission in October 2024.

Redwire supplied Hera's onboard computer, which acts as the spacecraft's "brain" by managing key operations like power, navigation, and transmitting critical data to operators back on Earth.

I also mentioned NASA's Europa Clipper mission.

Redwire provided a radiation-hardened Digital Sun Sensor (DSS) system for this mission. The DSS system—which was engineered to handle the extra-intense radiation that occurs around Jupiter—will capture crucial sun angle data to enable precise orientation of the spacecraft.

For the ESA's PROBA-3 mission to study the sun's corona, Redwire provided spacecraft integration and the onboard computer, among other things.

Spacecraft integration here refers to the comprehensive process of assembling, configuring, and testing the mission's two satellites to function cohesively as a single system in space. This meticulous process ensures that all spacecraft systems and components operate seamlessly together to achieve the mission's objectives.

On January 15, Firefly Aerospace's Blue Ghost lunar lander took off for the moon with a Redwire camera system on board, which will play crucial roles in landing on the lunar surface and other mission milestones.

Just two days before that, Redwire announced the successful delivery of the fourth pair of its Roll-Out Solar Array (ROSA) wings to the ISS. The wings boost the space station's power supply to support its operations and are becoming the industry standard for power generation.

In early January 2024, Maxar Space Systems' Ovzon 3 became the first commercial satellite to use Redwire's ROSA tech following years of successful operation on the ISS and NASA's Double Asteroid Redirection Test mission.

Amazon founder Jeff Bezos's space company Blue Origin also inked a deal with Redwire to supply ROSA wings for its Blue Ring space mobility platform.

Additionally, space solutions provider Thales Alenia Space ordered ROSA wings for its Space Inspire satellites—the company's newest product line of geostationary telecommunications satellites.

Less than five weeks later, Thales placed a follow-on order with Redwire for additional ROSA wings for this line of satellites.

There's good reason why Redwire's ROSA tech is such a hit with government and commercial customers.

Traditional solar arrays for spacecraft are rigid panels that need to be folded up for launch, which limits their size and therefore the amount of power they can generate. Redwire's ROSA wings are rolled up tightly for launch like this:



Source: Redwire

This allows for much larger arrays that generate more power while taking up less precious room in the launch vehicle.

Key acquisitions broaden Redwire's reach

While Redwire's critical infrastructure solutions remain its bread and butter, the company also offers five market-expanding and growth-enhancing complete small spacecraft platforms.

Here's a slide from the company's most recent earnings presentation highlighting these five platforms:



Source: Redwire

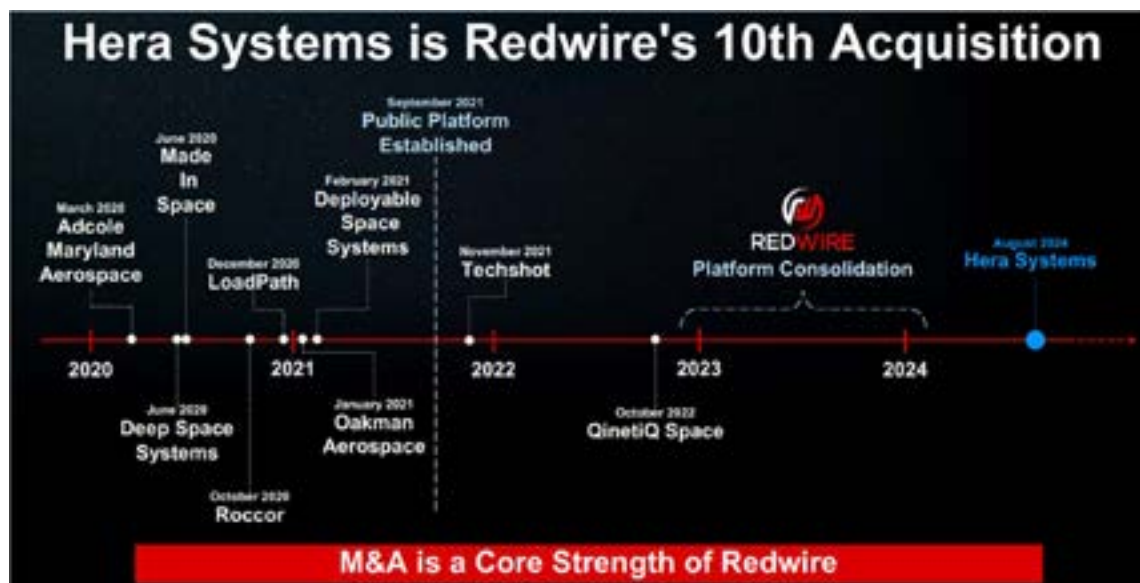
The latest addition to this part of the business came through the September 2024 acquisition of Hera Systems, a spacecraft developer focused on specialized missions for national security customers.

Redwire's Hera Systems acquisition added the Thresher and Mako platforms (shown in the slide above) to the company's small spacecraft portfolio. CEO Peter Cannito says:

The acquisition of Hera Systems is an exciting and important milestone in Redwire's growth strategy as we move up the value chain within the national security space sector.

Our expanded spacecraft portfolio enables us to offer our customers mission-critical capabilities in GEO, an increasingly important domain within today's national security space architectures.

Mergers & Acquisitions (M&A) is a big part of Redwire's business. As you can see in the slide below, Hera Systems was Redwire's 10th acquisition since it was founded about five years ago:



Source: Redwire

Just a few days ago, we learned about a new Redwire acquisition that lit a fire under the company's stock.

On January 20, Redwire said it was acquiring Edge Autonomy—a leading provider of long-range reconnaissance drones and associated technologies like advanced optics and resilient energy systems—for \$925 million in cash and stock.

Edge's autonomous aircraft operate within Earth's atmosphere. So they expand Redwire's defense tech solutions to a fifth domain. The company now has defense platforms across the Airborne domain (within Earth's atmosphere), Very Low Earth Orbit (VLEO), Low Earth Orbit (LEO), Medium Earth Orbit (MEO), and Geosynchronous Orbit (GEO) domains.

I'll talk about how the Edge acquisition affects Redwire's financial prospects below.

Meanwhile, you should know that Redwire's stock spiked 51% the day after the acquisition announcement on more than 10X average daily volume.

While it would have been nice if Redwire hadn't announced the Edge Autonomy news until *after* we had a chance to buy the stock, the acquisition further strengthens the company's growth profile and will help it generate positive free cash flow over the coming year.

Microgravity: The secret to better medicine?

Perhaps the most exciting aspect of Redwire is something we haven't even touched on yet: its recent foray into biopharmaceutical research.

Earlier I mentioned that the world's largest drug company, Eli Lilly, was conducting drug discovery and development experiments aboard the ISS.

Lilly partnered with Redwire in November 2023 to use Redwire's cutting-edge, in-space drug manufacturing platform called PIL-BOX to conduct experiments focused on developing advanced treatments for diabetes and heart disease aboard the ISS.

As Stephen alluded to earlier, certain drug discovery and development is easier to do in space because of microgravity where you're essentially weightless.

That's because, here on Earth, gravity distorts the 3D structure of proteins grown in the lab—which help scientists figure out how potential new drugs might interact with those proteins to treat disease.

But in space—without gravity's interference—scientists can see protein structures more clearly, which is crucial since most drugs target proteins linked to diseases.

Think of developing a drug like creating a key for a specific lock (the protein target).

The better you can see the lock's shape, the easier it is to design the perfect key. The high-quality protein crystals grown in space provide much more detailed images of these molecular "locks," helping scientists design more effective drugs.

Lilly and Redwire have expanded their partnership since those initial November 2023 experiments, which successfully showed that insulin crystals grown in microgravity are larger and more ordered than those grown on Earth.

This side of the business is now attracting more interest from big biopharma players—including a recently announced partnership with **Bristol Myers Squibb (BMY)**—and adds exciting "venture optionality" to Redwire's story.

In simple terms, venture optionality is the potential for a big payoff from a high-upside, more experimental part of the business, without putting the stable core at risk.

Included in that venture optionality is Redwire's BioFabrication Facility (BFF), which, like PIL-BOX, is installed on the ISS. The BFF is a 3D bioprinter—the same one scientists used to bio-print live human heart tissue.

3D bioprinting tissue in space makes sense because it comes with the same sort of advantages as doing drug discovery and development in microgravity. And bio-printed tissue like this could eventually be used to create heart patches as a treatment for damaged heart tissue and opens the door to more effective personalized medicine.

Redwire's exciting work in space-based biopharma research could create entirely new revenue streams with huge licensing and royalty potential in the coming years.

While it's still very early days, the potential for high-margin recurring revenue from this business could significantly enhance the company's future profitability.

Redwire's path to profits

Before taking Redwire's Edge Autonomy acquisition into account, the company generated \$298 million in revenue over the past year, which reflected robust growth of 27.4% from the prior year.

If we calculate the GARP Quotient using those figures and the stock's current price of \$22.11, we get 0.18. That's in the "Extremely Promising" tier we talked about in [The Growth Stock Anomaly](#) special report.

Introducing the GARP Quotient

GARP—or "growth at a reasonable price"—helps us identify rapidly growing stocks that get overlooked by most investors because they *seem* to have unreasonable valuations.

To calculate the GARP Quotient, start with the P/S (price-to-sales) ratio.

Then divide the result of the P/S ratio by the company's revenue growth rate from the last 12 months.

We put potential *Disruption_X* stocks into the following GARP Quotient tiers:

- Above 1.0 = Caution warranted
- Between 0.5 and 1.0 = Good
- Between 0.3 and 0.5 = Great
- Under 0.3 = Extremely promising

What makes Redwire even more promising is the fact that the Edge Autonomy acquisition further enhances the company's growth profile *and* gets it closer to profitability.

This reminds me of a business combination in the digital ad space a few years ago that led to great results for my subscribers. In January 2020, internet ad spending was skyrocketing. Advertising dollars were rapidly moving online because that's where the eyes were.

I recommended a company call The Rubicon Project. It had developed an innovative online exchange to automate the buying and selling of targeted digital ads.

But Rubicon's platform was missing something crucial: the ability to capitalize on the exploding opportunity for automating targeted video advertising on internet-connected TVs (CTVs).

Rubicon went on to merge with Telaria, a company that made software to automate the sale of video ads on CTVs, in April 2020.

The combined company, called **Magnite (MGNI)**, was able to take advantage of the full spectrum of opportunities across the digital ad space to supercharge revenue growth and start generating positive free cash flow.

In 2020, Rubicon's revenue was \$222 million and free cash flow was negative \$34 million. The next year, the combined company's revenue was \$468 million and free cash flow was nearly \$100 million. We ended up booking a 422% gain on this position in just over a year.

Edge Autonomy is Redwire's Telaria. Redwire's currently missing the ability to capitalize on the lucrative, fast-growing opportunity for unmanned aircraft systems and technology operating within Earth's atmosphere.

The Edge Autonomy acquisition will change that.

For example, Edge was just awarded a follow-on contract with the United States Marine Corps Small Tactical Unmanned Aircraft Systems Program for the delivery of additional VXE30 Stalker small uncrewed aircraft systems to provide long-range mission support.

The combined company will be able to take advantage of opportunities wherever flying machines are needed—whether that's within Earth's atmosphere or out in space—to supercharge growth and start generating free cash flow.

As a combined company, I expect Redwire to grow revenue to well north of \$500 million over the next year and generate positive free cash flow for the first time.

I also expect the combined company to be able to grow revenue at a compound annual rate of 35% for the next three years.

That's important because future growth is what matters most. Historical growth can be a helpful guide, but the stock market is forward-looking.

So our growth *forecasts* will be the most important factor for determining how attractively valued the stocks we're targeting really are.

With that in mind, if we run Redwire's GARP Quotient using our forecasted 35% annual rate, we get 0.14. That puts it even more firmly in the "extremely promising" tier.

In other words, Redwire already looked like a great investment. And the acquisition of Edge Autonomy makes it look even better.

Action to take: Buy Redwire Corp. (RDW) at current market prices. Set a 50% hard stop.

Recommendation #2: The AI bottleneck solution that's quietly beating Nvidia

Earlier, Stephen mentioned that Nvidia is facing a big problem.

Its AI chips have gotten too fast too quickly... and the networking equipment that allows these chips to “talk” to one another hasn’t caught up.

This creates major bottlenecks for companies using Nvidia’s AI chips because they’re not utilizing the chips’ full potential.

Our second recommendation is solving that problem.

Here’s the story...

Nvidia’s grown into the world’s third-largest company by market cap because it dominates the AI chip market. Its AI accelerator GPUs control between 70%–95% of the AI chip market, according to analysts.

But those chips don’t do much for you on their own.

You need to connect them together in big bunches... and connect those bunches to other equipment in a data center to unlock their potential and take AI to the next level.

How you connect everything together is just as important as *what* you’re connecting together.

You could have the most cutting-edge GPUs and other chips for compute and the world’s best memory, networking, and storage equipment. But if the connections you use to bring everything together in a data center aren’t up to snuff, all that fancy equipment is next to worthless.

Credo Technology provides the high-speed connectivity solutions data centers need to get the most out of their AI infrastructure.

The ability to move exponentially growing data around faster, more accurately, and more efficiently is a key tenet of AI proliferation. That’s exactly what Credo’s solutions enable.

Credo’s been able to break into a market dominated by giants like Broadcom and **Marvell Technology (MRVL)** and win by introducing superior connectivity tech.

The company says its products are based on its “Serializer/Deserializer (SerDes) and Digital Signal Processor (DSP) technologies.”

Imagine holding a big, thick book and walking up to a door with a very skinny mail slot. The person on the other side of the door needs the book but it won’t fit. It needs to be taken apart page by page to fit through the slot, then reassembled on the other side while maintaining perfect accuracy.

That's basically what SerDes tech does.

Modern data centers must move an enormous amount of data around their compute, memory, networking, and storage resources as fast as possible and with perfect accuracy, so everything works like it's supposed to.

But the physical connections—the thousands of miles of copper cable and optical fiber found in the world's largest data centers—can only carry so much data.

It's like trying to send libraries of big books through a small number of skinny mail slots all at once.

That's where Credo's SerDes tech comes in.

It's like a super-efficient book-processing system that can handle millions of pages per second while ensuring none of that data gets lost or damaged. And it does this by using a lot less power than competing systems, which is crucial for data centers because energy costs are their largest expense.

Now imagine yourself at a crowded party trying to have a conversation. Your brain must constantly filter out background noise, focus on the voice you want to hear, and fill in words you miss.

DSP tech does something similar, but for electronic signals in the digital world.

While making their way through a network, these signals naturally degrade and get corrupted by interference. DSPs “clean up” the signals to help ensure the integrity of the data being transmitted.

Traditional DSP solutions use a lot of power, especially at high speeds. Credo's innovative DSP tech uses a lot less power, allowing data centers to further reduce their energy costs.

Credo embeds its SerDes and DSP tech into the **Active Electrical Cables (AECs)** it sells to big data center customers, including Amazon, Microsoft, Oracle, and Elon Musk's xAI.

Solving AI's biggest bottleneck

When Credo introduced AECs to the market back in 2019, critics thought they couldn't compete with entrenched optical cables for high-speed connectivity.

But Credo's AECs proved to be just as good (or better, in many cases) from a performance perspective. They're also much more reliable, consume about half as much power, and their total cost of ownership is nearly 65% less.

So AECs have now become the de facto industry standard for high-speed data center connectivity.

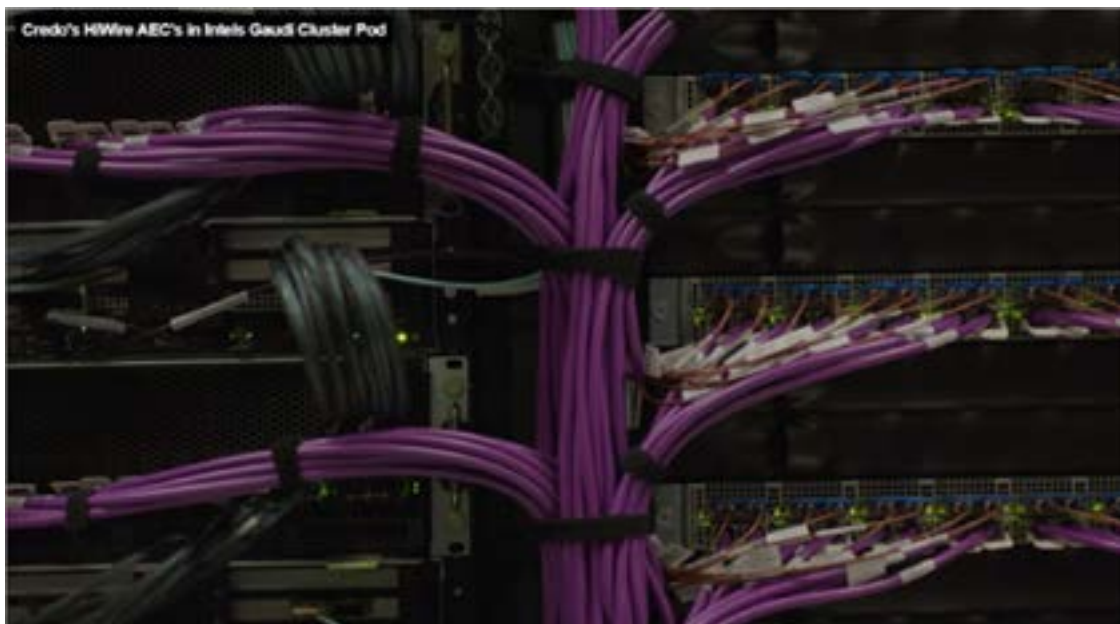
Here's a picture of thousands of Credo's AECs providing the connections for **Intel's (INTC)** Gaudi cluster pod—basically a supercomputer built specifically for AI:



Source: Credo

All those purple wires you see are Credo's AECs.

Here's a closer look at some of those connections:



Source: Credo

Meanwhile, Credo just introduced a new family of AECs that makes their implementation into next-generation data centers (especially AI clusters) a complete no-brainer.

See, optical cables often suffer from something called “link flaps.” These are brief disruptions in connectivity.

Link flaps are particularly disruptive to AI workloads. A single link flap will take down your entire AI cluster for up to 30 minutes and cost up to \$200,000, according to industry analysts.

There’s also a lot of lost productivity because you have to restart whatever AI training run you were doing, sometimes after days of computation.

In October 2024, Credo introduced its 800G HiWire ZeroFlap AECs to support AI networks. These AECs can transmit and receive 800 billion bits per second for years without a single bit failure or link flap.

Here’s what one of Elon Musk’s network engineers, Massine Merzouk, had to say about Credo’s new AECs:

Cluster reliability is of paramount importance when building the biggest supercomputers in the world with 100,000+ GPUs. Credo’s HiWire AECs offer the stable transport platform we need to build such massive systems.

That statement essentially confirmed that Musk’s xAI uses Credo’s AECs in its 100,000 GPU Colossus AI supercomputer... and that Musk plans to use them as he scales Colossus to over 1 million GPUs in the next two to three years.

Big data center customers that use Credo’s new AECs can save up to \$1,000 per GPU compared to optical cables. So Musk could save nearly \$1 billion thanks to Credo as he scales Colossus.

Meanwhile, in terms of some real-world benefits Credo’s AEC customers have already enjoyed...

Microsoft was able to reduce connection-related AI training failures by 99.999%—while also achieving a 15% improvement in overall cluster efficiency and a 40% reduction in networking-related power consumption—by switching to Credo’s 800G HiWire ZeroFlap AECs.

Oracle was able to reduce the rack-to-rack connection costs of its next-generation AI infrastructure by 35%—and increase compute density by 50%—using Credo’s AECs.

Credo sells high-speed, low-power connectivity solutions other than AECs because its strategy is to be an end-to-end connectivity partner for data centers, not just a point solutions provider.

But I’m focusing on the AEC business because that’s what matters most in the near term for the company’s AI-driven growth.

Credo's path to profits

Speaking of growth, Credo generated record revenue of \$72 million in fiscal Q2, which reflected extremely robust 64% growth from the same quarter last year.

But the company's just getting started.

AI-driven demand for high-speed, power efficient, and reliable connectivity is accelerating fast. And we're still in the early stages of widespread market adoption.

I expect that to drive even stronger revenue growth for Credo in the second half of fiscal 2025 (which runs from April 28, 2024, through May 3, 2025).

Again, future growth is what really matters. I think Credo can more than double its fiscal Q2 growth rate over the next two quarters. So we're talking north of 130%.

While that level of growth is not sustainable for the long term, I expect Credo's revenue to grow at an extremely fast compound annual rate of 75% for the next three years.

If we calculate Credo's GARP Quotient using its revenue growth rate for the last 12 months, we get 1.0.

But again, our growth *forecast* is what really matters.

Using my forecasted 75% growth rate, which could prove conservative, we calculate a GARP Quotient of 0.65. That's firmly in the "Good" Quotient Tier we talked about in [*The Growth Stock Anomaly*](#) special report.

In terms of Credo's path to profitability, the company's well on its way. It generated positive cash flow from operations of \$10.3 million in the second quarter.

Free cash flow—after deducting \$21.9 million worth of CapEx—was negative \$11.7 million.

But I expect the company to reach positive free cash flow and positive net income next year. In the meantime, the company has a substantial buffer of \$383 million in cash to continue to invest in its growth opportunities as it makes its way to profitability.

This is our chance to buy one of the best-performing AI stocks on the market today.

Action to take: Buy Credo Technology Group Holding Ltd. (CRDO) at current market prices. Set a 65% hard stop.

Introducing: America's fastest-growing stocks

In this monthly feature, we'll share proprietary data around America's fastest-growing stocks.

Every month, we send our custom-built AI program out to gather data on over 1,000 stocks. We're looking for early signs of explosive, sustainable growth.

In the table below, we're sharing the 25 fastest-growing stocks in America that fit our *Disruption_X* size criteria. As a reminder, the stocks we're targeting have a market cap between \$200 million and \$20 billion.

Future recommendations may come from this list. It also gives us great insight into what's growing fast and—just as important—what's not. A stock riding on pure hype can't make this list because it requires real, bona fide revenue growth.

Note these stocks trade on American exchanges. They aren't necessarily American companies.

We also include their raw GARP Quotient based on their most recent quarterly revenue, to give an idea of how fairly valued they are.

Observations this month:

- A lot of Argentinian companies. President Milei's government slashing and innovation-backing turnaround is delivering some great growth stories. But take these numbers with a grain of salt. The country's inflation and volatility are skewing growth numbers.
- A lot of Chinese tech companies, which we're unlikely to ever recommend because it's impossible to fully trust the numbers.
- A lot of **bitcoin (BTC)** miners. No surprise—their profitability is directly linked to bitcoin's price.

A few of the fast-growing stocks that have our attention:

EchoStar (SATS)—satellites. The space economy is going to be huge, and we'll probably see a lot more space stocks on here. With 877% revenue growth, EchoStar is building critical satellite infrastructure that will power everything from global internet to autonomous vehicles.

SoundHound AI (SOUN)—AI voice recognition. While SoundHound's 73% revenue growth is impressive, what really catches our eye is how it's quietly becoming the default voice AI platform across multiple industries. This is exactly the kind of setup we look for before a stock goes parabolic.

Amentum Holdings (AMTM)—cybersecurity. The numbers tell the story here: 77% revenue growth, a \$5.5 billion market cap, and a GARP Quotient of just 0.63 in the consistently-growing cybersecurity sector.

You'll also see drones and advanced batteries represented on the list: two sectors fertile with potential 10-baggers.

Fastest-growing stocks in America								
Rank	Ticker	Previous Rank	Name	Description	Mkt cap (in bln)	Stock Price	Revenue Growth	GARP Quotient
1	SATS	1	EchoStar	Satellites	\$7.34	\$27.00	877%	0.03
2	EH	2	EHang Holdings Limited	Chinese drones	\$0.98	\$15.55	216%	0.54
3	CRESW	3	Cresud SACIF y A	Argentinian	\$0.57	\$0.95	187%	0.00
4	FUFUW	4	BitFuFu Inc.	Bitcoin miner	\$0.85	\$0.51	174%	1.84
5	IRS	5	IRSA	Argentinian	\$1.26	\$14.71	167%	<0.00
6	ACTG	6	Acacia Research	Patent defense	\$0.43	\$4.39	167%	1.76
7	FBYD	7	Falcon's Beyond Global	Entertainment	\$0.85	\$5.55	135%	N/A
8	ZK	8	ZEEKR	Chinese EVs	\$6.31	\$25.49	125%	0.10
9	CRESY	9	Cresud	Argentinian	\$0.82	\$12.09	121%	<0.00
10	TEO	10	Telecom Argentina S.A.	Argentinian	\$6.17	\$12.07	100%	<0.00
11	CLSK	11		Bitcoin miner	\$3.47	\$11.87	92%	7.70
12	SMCI	12	Super Micro Computer, Inc.	Computer infrastructure	\$18.05	\$30.82	86%	0.77
13	MSC	13	Studio City	Chinese casino	\$0.87	\$4.50	85%	1.20
14	HEPS	14	D-Market Elektronik	Turkish e-commerce	\$0.98	\$3.14	78%	0.02
15	AMTM	15	Amentum Holdings, Inc.	Cybersecurity	\$5.54	\$22.79	77%	0.63
16	MOB	16	Mobilicom Ltd	Drones	\$5.83	\$3.34	77%	455.00
17	EOSE	17	Eos Energy	Advanced batteries	\$1.31	\$6.02	75%	1887.99
18	SOUN	18		AI voice recognition	\$5.04	\$13.64	73%	66.07
19	ATEX	19	Anterix Inc.	Broadband	\$0.58	\$30.99	72%	95.87
20	FUN	20	Six Flags	Entertainment	\$4.45	\$44.38	70%	2.47
21	TKO	21	TKO Group Holdings, Inc.	Entertainment	\$11.55	\$142.20	66%	3.91

Fastest-growing stocks in America								
Rank	Ticker	Previous Rank	Name	Description	Mkt cap (in bln)	Stock Price	Revenue Growth	GARP Quotient
22	TKC	22	Turkcell	Turkish telecom	\$6.14	\$7.04	64%	0.42
23	ASPN	23	Aspen Aerogels, Inc.	Battery tech	\$1.04	\$12.72	63%	0.05
24	SPHR	24	Sphere	Las Vegas Sphere	\$1.48	\$41.39	62%	2.38
25	GCT	25	GigaCloud	Chinese internet	\$0.80	\$19.83	61%	1.57

Be on the lookout for our second issue, going out on February 27. As a reminder, new issues of *Disruption_X* will be published on the fourth Thursday of each month.

For the most up-to-date guidance on our current positions, [click here](#) to view the portfolio online.

Chris Wood Stephen McBride

Chris Wood and Stephen McBride



[READ IMPORTANT DISCLOSURES HERE.](#)

YOUR USE OF THESE MATERIALS IS SUBJECT TO THE TERMS OF THESE DISCLOSURES.

Copyright © 2025 RiskHedge. All Rights Reserved